

Income Tax Basics

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Tax Basics - Topics

- ▶ Big Picture
 - ▶ Types of Taxes
 - ▶ Why do we pay taxes?
- ▶ Income Tax Basics
- ▶ Discussion of Deductions and Credits
- ▶ Specific Items for Students
- ▶ How to File

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Types of Taxes

What type of taxes do we pay in the United States?



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Why do we pay taxes?

"Taxes are the price we pay for civilization."
- Oliver Wendell Holmes, Jr.

To Provide Revenue to Federal, State, and Local governments to fund many essential services...

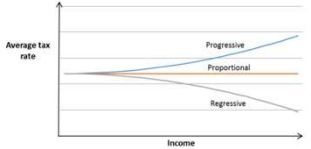
- ▶ Highways / Roads
- ▶ Police / Defense
- ▶ Justice System
- ▶ Health, Welfare, Social Services
- ▶ Job Training
- ▶ Schools
- ▶ Parks
- ▶ ETC....



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Income Tax Basics for Individuals

▶ The U.S. Individual Income Tax is a Progressive Tax



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2024 Tax Rates

Apply to "taxable income"

Taxable Income Brackets for 2024 Ordinary Income Tax Rates			
Marginal Tax Rate	Single	Married Filing Joint	Head of Household
10%	\$0 to \$11,600	\$0 to \$23,200	\$0 to \$16,550
12%	\$11,600 to \$47,150	\$23,200 to \$94,300	\$16,550 to \$63,100
22%	\$47,150 to \$100,525	\$94,300 to \$201,050	\$63,100 to \$100,500
24%	\$100,525 to \$191,950	\$201,050 to \$383,900	\$100,500 to \$191,950
32%	\$191,950 to \$243,725	\$383,900 to \$487,450	\$191,950 to \$243,700
35%	\$243,725 to \$609,350	\$487,450 to \$731,200	\$243,700 to \$609,350
37%	\$609,350 or more	\$731,200 or more	\$609,350 or more

Note: Married Filing Separately is another category, but not included on this list.
*** These Brackets Change Annually - they are adjusted for inflation.***

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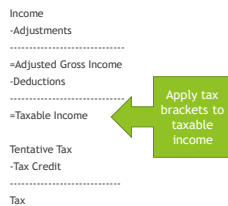
2025 Tax Rates Apply to “taxable income”

Taxable Income Brackets for 2025 Ordinary Income Tax Rates			
Marginal Tax Rate	Single	Married Filing Joint	Head of Household
10%	\$0 to \$11,925	\$0 to \$23,850	\$0 to \$17,000
12%	\$11,926 to \$48,475	\$23,851 to \$96,950	\$17,001 to \$64,850
22%	\$48,476 to \$103,350	\$96,951 to \$206,700	\$64,851 to \$103,350
24%	\$103,351 to \$197,300	\$206,701 to \$394,600	\$103,351 to \$197,300
32%	\$197,301 to \$250,525	\$394,601 to \$501,050	\$197,301 to \$250,500
35%	\$250,526 to \$626,350	\$501,051 to \$751,600	\$250,501 to \$626,350
37%	\$626,351 or more	\$751,601 or more	\$626,351 or more

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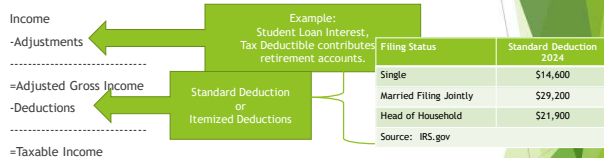
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How is U.S. Income Tax Calculated?



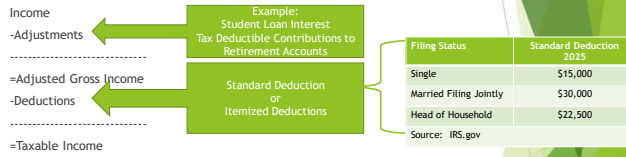
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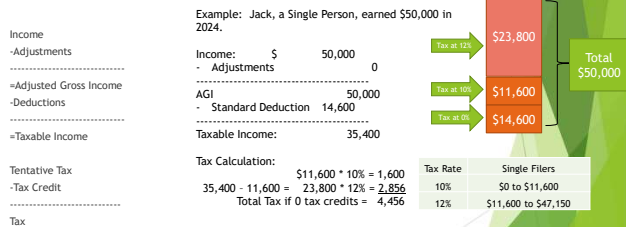
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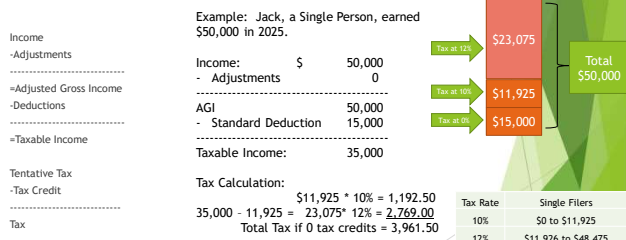
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How is Income Tax Calculated?



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How is Income Tax Calculated?



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Does Everyone Get the Standard Deduction?

- ▶ Taxpayers will take the larger of itemized deductions OR Standard Deduction
- ▶ If you can be claimed as a dependent by another taxpayer (i.e. students may be claimed as dependents by parents), your 2024 standard deduction is the greater of:
 - ▶ \$1,300 or
 - ▶ Earned Income plus \$400 (but may not exceed basic standard deduction)

Caution: These are rules for U.S. taxpayers (including resident aliens). Different rules apply to non-residents, non-US citizens, etc.

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Itemized Deductions

- ▶ Medical and Dental Expenses (that exceed 7.5% of gross income)
- ▶ Mortgage Interest on up to two homes
- ▶ State and Local Taxes (max of \$10,000)
 - ▶ State and Local Income Taxes
 - ▶ Property Taxes
- ▶ Charitable Contributions (Max of 60% of AGI)*
- ▶ Casualty and Theft Losses - Only Federal Disaster Losses
- ▶ Miscellaneous Itemized Deductions - Only those not subject to 2% AGI Limit
 - ▶ Amortizable premium on taxable bonds
 - ▶ Casualty and theft losses from income producing property
 - ▶ Federal estate tax on IRD (income in respect of decedent)

To do: Keep record and track of your possible deductible expenses!

*Need documentation. Large value non-cash contributions may need an appraisal.

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Tax Credits related to Education

- ▶ American Opportunity Tax Credit (AOTC)
 - ▶ Up to \$2,500 annual credit for first 4 years of higher education
 - ▶ 100% of first \$2,000 of qualified education expenses and 25% of next \$2,000 of qualified education expenses for each student
 - ▶ Partially refundable (up to \$1,000)
- ▶ Lifetime Learning Credit
 - ▶ 20% of the first \$10,000 of qualified education expenses for max of \$2,000 per return.
 - ▶ Non-Refundable
 - ▶ No limit on years
 - ▶ Includes courses to acquire or improve job skills

NOTE: If a parent claims the student as a dependent for taxes, then it is the parent that can get the education credit.



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Other Tax Credits

- ▶ Child Tax Credit
- ▶ Adoption Credit
- ▶ Child and Dependent Care Credit
- ▶ Credits for purchasing "clean" vehicles
- ▶ Energy Efficient Home Improvement Credit
- ▶ Many Others
 - ▶ IRS.gov - To look into the many tax credits available

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Who must file a tax return?

- ▶ Dependents
 - ▶ Unearned Income (e.g., interest, dividends, unemployment, social security benefits) > \$1,300
 - ▶ Earned Income > \$14,600
 - ▶ Gross Income (Total earned and unearned) > the larger of: \$1,300 or Earned Income (up to \$14,150) plus \$400
- ▶ Non-dependents not claimed as dependents on another person's return
 - ▶ Single Person with Income > \$14,600
 - ▶ Head of Household with Income > \$21,900
 - ▶ Married Filing Joint with Income > \$29,200
 - ▶ Married Filing Separate with Income > \$5
- ▶ International Students on F or J Visa (all must file even if no income.)

Attention Students: All or a portion of a Scholarship or Grant may be taxable income such as if it's used for incidentals, including room and board or travel.

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Even if you earned less income than the required filing amount, you may still WANT to file a tax return

- ▶ To obtain a tax refund
 - ▶ Withholdings exceed tax liability
 - ▶ Refundable Credits - Like the Earned Income Tax Credit
 - ▶ You made estimated tax payments
 - ▶ Other tax credits
- ▶ Experience



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Tax Forms

Forms

- ▶ Form 1040 - U.S. Individual Income Tax Return
- ▶ Form 1040-NR - U.S. Nonresident Alien Income Tax Return
- ▶ International Students - Form 8843 and possibly Form 1040-NR

Due Date

- ▶ Annually on April 15 - adjusted for weekends and holidays
- ▶ Extensions can be requested (submit request by regular tax deadline)
 - ▶ Extends filing deadline but **NOT** payment deadline



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Estimated Tax Payments -Due April, July, October, January

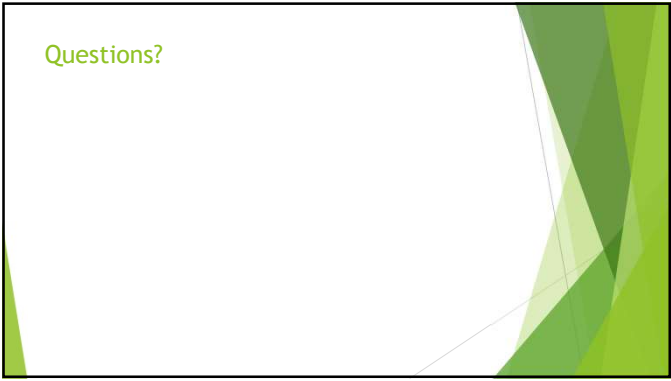
- ▶ Taxes must be paid throughout the year.
- ▶ Employers withhold from Employee paychecks and submit throughout year to taxing authorities.
 - ▶ If withholding not sufficient - may have balance due and/or need estimated payments
 - ▶ If withholding is too much - may get refund
- ▶ If you have other income
 - ▶ May owe estimated tax payments

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How to prepare and file forms

- ▶ By Hand: Obtain Forms **AND** Instructions at IRS.gov, then file by mail.
- ▶ Software:
 - ▶ TurboTax
 - ▶ H&R Block
 - ▶ TaxAct
 - ▶ Tax Slayer
 - ▶ IRS FREE FILE program
 - ▶ Access to free online tax preparation software from many of the above companies if your AGI is below \$75,000 (2024 filing season). Find Details at irs.gov.
 - ▶ Sprintax - Free through CWRU Center for International Affairs for International Students
- ▶ Hire a Tax Preparer
 - ▶ Individuals with basic scenario and income less than \$64,000, can get help from the Volunteer Income Tax Assistance (VITA) program. Find a site near you at <https://irs.treasury.gov/freetaxprep/>. Most locations require you to schedule an appointment.

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